May/June 2016 Paper 02

Section I (Compulsory)

Question 1

Janice retired after 15 years of working as a loans officer at a commercial bank and has decided to become an entrepreneur.

1(a)(i) Definition of entrepreneurship

Define the term 'entrepreneurship'. (2 marks)

Entrepreneurship is the willingness and ability of a person to organise the factors of production, take risks and use his or her own ideas to set up and run a business with the aim of earning a profit. The person who carries out this activity is called the entrepreneur and is responsible for making the main decisions in the business.

1(a)(ii) Reasons a person may start a business

State FOUR reasons why a person may start a business. (4 marks)

Four reasons why a person may start a business are:

- To earn a profit and increase personal income beyond what could be earned as an employee.
- To be his or her own boss and have the freedom to make decisions about how the business is run.
- To turn a personal skill, hobby or new idea into a source of income.
- To create employment for himself or herself and for other members of the community.

1(b) Stakeholders involved in Janice's business

Identify FOUR stakeholders that could be involved in Janice's business. (4 marks)

Four stakeholders that could be involved in Janice's business are:

- The owner, Janice herself, who provides the capital and makes the main decisions.
- The employees who work in the business and earn wages and salaries.
- The customers who buy the services that Janice offers.
- The government, which collects taxes from the business and sets the laws under which it must operate.

1(c) Services Janice may offer given her banking experience

Describe TWO types of services Janice may be able to offer given her banking experience. (4 marks)

Loan and credit advisory services

Because Janice spent 15 years as a loans officer, she understands how loans are assessed and approved. She can set up an advisory service that helps small business owners and individuals to prepare loan applications, work out repayment plans and improve their chances of getting credit from a bank.

Personal financial planning services
Janice can use her banking knowledge to help clients plan their personal finances by preparing budgets, advising on savings and investment options and showing them how to manage their debts. This helps her clients to use their money more wisely and reach their financial goals.

1(d) Ways the business can benefit the community

Explain TWO ways in which Janice's business can benefit the community. (6 marks)

Provides employment and income to community members
Janice will need to hire workers such as clerks, receptionists and assistants to help her run the business. The wages and salaries paid to these workers give them the money to support their families and to spend in other shops in the community, which helps the local economy to grow.

Improves access to financial knowledge and services
By offering loan advice and personal financial planning, Janice helps members of the community to make better decisions about borrowing, saving and investing. This raises the level of financial knowledge in the area and helps families and small businesses to avoid debt problems and to build wealth over time.

Question 2

2(a) Definition of conflict resolution

Define the term 'conflict resolution'. (2 marks)

Conflict resolution is the process used to settle disagreements or disputes between two or more parties in a peaceful way. It involves identifying the cause of the conflict and then using methods such as discussion, negotiation, mediation or arbitration so that all parties can reach an agreement that is acceptable.

2(b) Sources of conflict at the workplace

Describe how the following factors can be sources of conflict at the workplace: (i) Poor communication; (ii) Underperformance; (iii) Limited resources. (2 marks each)

(b)(i) Poor communication
When messages between management and workers are not clear, are passed on late or are not passed on at all, workers can misunderstand instructions and feel that they are not being kept informed. This leads to mistakes, frustration and a feeling of distrust, which quickly turn into open conflict between staff and management.

(b)(ii) Underperformance
When some workers do not pull their weight and fail to complete their tasks on time or to the required standard, the workers who are doing their jobs properly become annoyed because they have to cover the extra work. Managers may also become upset because targets are not being met, and the resulting blame and tension cause conflict in the team.

(b)(iii) Limited resources

When the business does not have enough computers, tools, office space or money to go around, workers and departments end up competing with each other for what is available. This struggle over scarce resources causes arguments and bad feeling among workers who feel that they are not being treated fairly.

2(c)(i) Work to rule vs go slow

Distinguish between 'work to rule' and 'go slow'. (4 marks)

Work to rule

Work to rule is an industrial action in which workers do only the exact duties that are written in their job description and follow every workplace rule strictly, refusing to do anything extra. Because workers are still doing their jobs, they cannot be punished, but the slow and rigid way of working causes the business to fall behind on its targets.

Go slow

Go slow is an industrial action in which workers stay on the job but deliberately work at a much slower pace than normal. They still produce some output, so they continue to earn wages, but the reduced rate of work cuts production and puts pressure on management to settle the dispute.

2(c)(ii) Benefits of mediation

State TWO benefits of mediation as a means of conflict resolution. (2 marks)

- Mediation is faster and cheaper than going to court because the parties meet with a neutral mediator and reach a settlement on their own terms.
- Mediation helps to keep good relations between the parties because they work together to find a solution rather than fighting against each other.

2(d) Guidelines to enhance management/staff relationships

Explain ONE way in which management can use EACH of the following guidelines to enhance relationships between management and staff: (i) Open door policy; (ii) Annual retreat. (3 marks each)

(d)(i) Open door policy

Under an open door policy, managers leave their office doors open and invite workers to come in at any reasonable time to share concerns, ideas or complaints. This makes workers feel that their views matter and that they can speak directly to management without fear, which builds trust and improves the working relationship between staff and management.

(d)(ii) Annual retreat

An annual retreat takes managers and staff away from the workplace for a few days of meetings, training and team-building activities. Working and relaxing together in a different setting allows managers and workers to get to know each other as people, share ideas openly and build the team spirit that improves day-to-day relationships back at the workplace.

Question 3

3(a)(i) Definition of capital

Define the term 'Capital' and give ONE example. (3 marks)

Capital refers to the man-made resources that are used to produce other goods and services, such as machinery, tools, buildings and money invested in the business. An example of capital is the ovens and mixers used in a bakery to produce bread and cakes.

3(a)(ii) Definition of collateral

Define the term 'Collateral' and give ONE example. (3 marks)

Collateral is something of value that a borrower offers to a lender as security for a loan, so that if the borrower fails to repay, the lender can take and sell the item to recover the money. An example of collateral is a piece of land or a motor vehicle pledged to a bank when taking out a loan.

3(b) Advantages of borrowing from a credit union vs a bank

Outline THREE advantages of borrowing money from a credit union as opposed to a bank. (6 marks)

Lower interest rates on loans
Credit unions are owned by their members and are not run for profit, so they usually charge lower interest rates than commercial banks. This means that the borrower pays back less in interest over the life of the loan.

Easier requirements and more personal service
Credit unions know their members personally and do not always demand large amounts of collateral or long lists of documents. This makes it easier for ordinary workers and small business owners to qualify for a loan than at a regular bank.

Sharing of profits with members
At the end of the year, any surplus made by the credit union is shared with the members in the form of dividends or rebates on the interest paid. This means that some of the cost of borrowing is given back to the borrower, which a bank does not do.

3(c) Elements of a business plan

Identify TWO elements of a business plan. (2 marks)

- The Executive Summary, which gives a short overview of the business and its main goals.
- The Marketing Plan, which describes the target market, the products, the pricing and how the business will promote and sell its goods or services.

3(d) Importance of a business plan to stakeholders

Explain ONE way in which a business plan is important to EACH of the following stakeholders: (i) Business owners; (ii) Potential investors. (3 marks each)

(d)(i) Business owners

A business plan is important to the owner because it acts as a written guide for running the business from day to day. It sets out the goals, the steps needed to reach them and the resources required, so the owner can make better decisions and check whether the business is on track to meet its targets.

(d)(ii) Potential investors

Potential investors use the business plan to decide whether the business is worth putting their money into. The plan shows them what the business does, how it will make money and the expected returns, so they can judge the level of risk and decide whether to invest before they commit any funds.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a)(i) Examples of market structures

List THREE examples of Market structures. (3 marks)

- Perfect competition.
- Monopoly.
- Oligopoly.

4(a)(ii) Methods of retailing

List THREE examples of Methods of retailing. (3 marks)

- Selling through supermarkets and department stores.
- Selling through small neighbourhood shops or convenience stores.
- Selling online through e-commerce websites and mobile apps.

4(b) Capital-intensive vs labour-intensive production

Differentiate between 'capital-intensive production' and 'labour-intensive production'. (4 marks)

Capital-intensive production

Capital-intensive production is a method of production that uses a large amount of machinery, equipment and technology compared with the number of workers. The cost of buying and maintaining the machines is much greater than the wage bill, but output per worker tends to be high. An oil refinery is a typical example.

Labour-intensive production

Labour-intensive production is a method of production that uses a large amount of human labour compared with the amount of machinery used. Most of the cost of production goes towards wages and output per worker is lower. A small banana farm where most of the work is done by hand is a typical example.

4(c) Purposes of branding

Outline TWO purposes of branding. (4 marks)

To make the product easy to identify

Branding gives the product a unique name, logo and design that customers can recognise quickly on the shelf. This helps the product to stand out from competing products and makes it easy for satisfied customers to find and buy the same item again.

To build customer loyalty and support a higher price

Once customers come to trust the brand, they are willing to keep buying it and even to pay a higher price than they would for an unbranded product. This loyal repeat custom helps the business to keep steady sales and to earn a better profit margin.

4(d) How packaging helps in marketing

Explain TWO ways in which packaging helps in the marketing of goods. (6 marks)

Attracts the attention of customers

Good packaging uses bright colours, attractive designs and clear pictures so that the product stands out among many other items on the shelf. When customers walk through a store, an eye-catching package draws them to pick up the product and read more about it, which often leads to a sale.

Provides information and protects the product

The package carries important information such as the brand name, ingredients, instructions for use, expiry date and price, which helps customers decide whether to buy. At the same time, the packaging protects the product from damage, dirt and tampering during transport and storage, so the customer receives the product in good condition. Both of these features build trust in the brand and support marketing.

Question 5

5(a)(i) Sources of short-term financing

List THREE sources from which Short-term financing may be obtained. (3 marks)

- Bank overdrafts from a commercial bank.
- Trade credit from suppliers, where goods are received now and paid for later.
- Short-term loans from a credit union or finance company.

5(a)(ii) Sources of long-term financing

List THREE sources from which Long-term financing may be obtained. (3 marks)

- Long-term loans or mortgages from commercial banks and development banks.
- Issuing shares to the public on the stock exchange.
- Issuing debentures or bonds to investors.

5(b) Savings vs investment

Differentiate between 'savings' and 'investment'. (4 marks)

Savings

Savings is the part of a person's income that is not spent on current consumption but is set aside in a safe place such as a savings account at a bank or credit union. The money is kept for future use, earns a small amount of interest and can usually be withdrawn quickly if it is needed.

Investment

Investment is the use of money to buy assets such as shares, bonds, property or equipment in the hope of earning a higher return in the future. Investment usually involves more risk than savings because the value of the asset can rise or fall, but it offers the chance of greater rewards.

5(c) How the Internet has influenced investment

Outline TWO ways in which the Internet has influenced investment activities. (4 marks)

Made investment information widely available

Investors can now use the internet to research companies, follow share prices and read financial news at any time of the day or night. This means that ordinary people, not only professionals, can study the market carefully before deciding where to put their money.

Allowed online buying and selling of investments

Through online trading platforms, investors can buy and sell shares, bonds and foreign currency from their own computers or phones. This makes investing faster and cheaper because the investor does not have to go through a broker in person and can act quickly when prices change.

5(d) How budgeting helps in managing personal finances

Explain TWO ways in which budgeting helps in managing personal finances. (6 marks)

Helps a person live within his or her income

A budget lists all the expected income and all the planned expenses for a period such as a month. By comparing the two, the person can see whether spending plans are within what he or she can afford and can cut back on items that are not really needed. This prevents overspending and the build-up of debt.

Helps a person to save and reach financial goals

A budget includes a planned amount to be set aside for savings each month before the rest of the money is spent. This makes saving a regular habit and helps the person to build up funds for important goals such as paying school fees, buying a car or owning a home, instead of always running out of money before payday.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Definition of consumer protection

Define the term 'consumer protection'. (2 marks)

Consumer protection refers to the laws, agencies and other measures put in place by the government and other bodies to defend the rights of consumers and to make sure that they are not cheated, harmed or treated unfairly by businesses when they buy goods and services.

6(a)(ii) Social services provided by governments

Identify TWO social services provided by governments. (2 marks)

- Free or subsidised public education at primary and secondary schools.
- Public health care services provided through government clinics and hospitals.

6(b) Government responsibilities

Describe ONE way in which governments carry out the following responsibilities: (i) Protection of the environment; (ii) Security of the state; (iii) Maintenance of a safe climate for investors. (2 marks each)

(b)(i) Protection of the environment

The government passes and enforces environmental laws that control the dumping of waste, the cutting of forests and the release of harmful chemicals into the air and water. Businesses and individuals who break these laws can be fined or taken to court, which helps to keep the environment clean and safe.

(b)(ii) Security of the state

The government maintains a police force and a defence force that protect citizens and their property from crime and from outside attack. By providing equipment, training and pay for these officers, the state is able to keep law and order so that people can live and do business in safety.

(b)(iii) Maintenance of a safe climate for investors

The government keeps a stable climate for investors by passing laws that protect property rights and contracts, by keeping inflation and interest rates under control and by making sure that the courts deal fairly and quickly with business disputes. When investors trust that their money is safe, they are willing to put it into the country.

6(c) Impact of providing laptops to primary school children

Outline TWO ways in which governments' decision to provide laptops to primary school children can positively impact their education. (4 marks)

Improves access to learning resources

With a laptop, each child can use educational software, watch lessons on the internet and search for information for school projects. This gives even children from poor families the same access to learning materials as those from wealthier homes, which helps to close the gap in learning.

Builds early computer skills

Using a laptop from primary school helps children become comfortable with technology, typing and using common software at a young age. These computer skills make it easier for them to do well in higher classes and prepare them for jobs in a modern workplace where computers are used every day.

6(d) Government measures to regulate business activities

Explain how governments use EACH of the following measures to regulate business activities: (i) Taxation; (ii) Safety and health. (3 marks each)

(d)(i) Taxation

The government uses taxation to control the level and type of business activity in the country. By placing high taxes on harmful items such as cigarettes and alcohol, it discourages their production and sale, while tax holidays and lower tax rates on activities such as agriculture or tourism encourage businesses to invest in those areas.

(d)(ii) Safety and health

Through safety and health laws, the government sets the minimum standards that businesses must meet for clean and safe workplaces, such as proper lighting, fire exits, protective gear and clean food preparation areas. Inspectors visit businesses to check that the rules are being followed and any business that breaks the rules can be fined or shut down, which forces firms to protect their workers and customers.

Question 7

7(a)(i) Definition of standard of living

Define the term 'Standard of living'. (2 marks)

Standard of living refers to the level of wealth, comfort and material goods that an individual or country enjoys. It is usually measured by looking at things like the average income per person, the quality of housing, food and clothing, and the access citizens have to services such as health, education and entertainment.

7(a)(ii) Definition of national income

Define the term 'National income'. (2 marks)

National income is the total money value of all the goods and services produced by the citizens of a country during a given period of time, usually one year. It includes all wages, profits, rent and interest earned within the country and from citizens working abroad, after allowing for depreciation.

7(b) Indicators that affect standard of living

Describe ONE way in which EACH of the following indicators affects an individual's standard of living: (i) Quality and availability of employment; (ii) Quality and affordable housing; (iii) Access to affordable and quality health care. (2 marks each)

(b)(i) Quality and availability of employment

When good jobs are available, people earn regular wages and salaries that allow them to buy food, clothes and other goods and services they need. Steady, well-paying employment therefore raises the standard of living, while high unemployment forces families to do without basic items and lowers their standard of living.

(b)(ii) Quality and affordable housing

Living in a well-built home with running water, electricity and proper sanitation protects the health of the family and gives them comfort and privacy. When such housing is also affordable, families do not have to spend most of their income on rent, leaving money for other needs and raising the overall standard of living.

(b)(iii) Access to affordable and quality health care

When citizens can easily get good medical care at a price they can afford, they recover quickly from illness, live longer and miss fewer days of school or work. Good health care therefore improves the quality of life and the productivity of citizens, which raises the standard of living for the whole community.

7(c) Approaches used to measure national income

Describe TWO approaches used to measure national income. (4 marks)

The income approach

The income approach measures national income by adding up all the incomes earned by citizens in the form of wages and salaries, rent, interest and profit during the year. The total of these incomes gives the value of national income because every dollar of output produced becomes income for someone.

The output approach

The output approach measures national income by adding up the money value of all the final goods and services produced by every industry in the country during the year. Care is taken to count the value added at each stage so that the same item is not counted twice, and the final total gives the value of national output.

7(d) Indicators of quality of life

Explain how EACH of the following indicators can be used to evaluate the quality of life of citizens in your country: (i) Right to privacy; (ii) Right to education. (3 marks each)

(d)(i) Right to privacy

The right to privacy means that citizens are protected from having their homes, letters, phone calls and personal information searched or shared without lawful reason. Where this right is well respected by the state and by businesses, citizens feel safe and free, which is a sign of a high quality of life. Where it is often broken, citizens live in fear and the quality of life is poor.

(d)(ii) Right to education

The right to education means that every child should have free or affordable access to schooling at least up to the secondary level. A country in which most children attend school, finish their studies and gain

useful skills shows a high quality of life, because educated citizens earn higher incomes, enjoy better health and take a fuller part in the life of the nation.